

Nvidia (NVDA US)

Massive FY28 Guide Underscore Value and Positioning

Maintained **Buy**
Target price \$345

Maintain TP at \$345: Nvidia stock rose 4% during after-hours on robust prints, ~70% FY28 YoY guide (100% unconstrained), increasing revenue/GW and clarity (a bit) the \$500bn financing framework, offsetting softer margin outlook. The earnings call underscored Nvidia's: 1) full-stack AI platform, with Vera Rubin's \$40bn/GW value vs. Blackwell's \$25bn; 2) neutral positioning for fast-growing neoclouds who need full solutions; 3) supply chain; 4) dual tailwinds from closed and open models, the latter a bigger driver; and 5) GPU which is fungible. Moreover, product-cycle stays constructive for Vera Rubin, driven by share gains vs. ASICs and neocloud build-out, with portfolio spans LPX, CPU, and networking including the better ramp of CPO Spectrum-X. A good problem to have remain the supply bottlenecks across memory, wafer fabrication, plus LPS (land-power-shell). Incorporating results and guidance, we revise FY27E/FY28E EPS by -1%/+3% and keep TP at \$345.

Earnings call a positive driven by FY28 guide: F2Q revenue reached \$96.2bn (+18% QoQ, +106% YoY), vs. GF \$94.5bn, Bloomberg \$92.3bn and buy-side \$94.6bn; data-center revenue was \$89bn, gross margin 75%, and EPS \$2.22 were all higher than consensus. F3Q guidance of \$108bn matched our preview of \$108bn and topped Bloomberg \$104bn, buy-side \$106-108bn, but gross margin of 74% trailed expectations due to memory cost (F4Q to 71-72%, recovering to 72-73% in FY28). More importantly, FY28 revenue is guided to be up approximately 70% YoY considering supply-constrained, vs. 100% customer-implied demand, both of which are major positive surprises during the call.

From Blackwell to Rubin's \$40bn/GW amid tailwinds and execution: Mgmt indicated that Rubin platform to reach \$40bn/GW, vs. Blackwell's \$25bn/GW, driven by its full stack platform including Vera Rubin, Vera, LPX, networking, etc. For Rubin Ultra, despite a likely downgrade in HBM (see our *AI Platform Value Shift on Aug 6*), we expect NPO/CPO-connected NVL576 to be mainstream form factor, likely further boost the revenue/GW and widen the gap driven by scale-up domain. For industry trends, we believe the AI demand is real (while market waits for new demand drivers other than coding), AI buildout is transformative, and continue to expect the robust growth of Neocloud and open models to serve as tailwinds for Nvidia. In additionally, mgmt's comments of winning 2m GPUs at AWS reaffirmed our view of Nvidia's share gains, vs. ASICs such as TPU and Trainium. For numbers, we revised Nvidia's 2027 CoWoS forecast to 1.08m from 1.05m.

Risks: 1) geo-risk; 2) capex slowdown; 3) scaling slowdown; 4) product delay.

Profit forecast

	FY2025	FY2026	FY2027E	FY2028E	FY2029E
Revenue (m)	130,497	215,938	410,878	712,069	910,443
Revenue YoY (%)	114.2	65.5	90.3	73.3	27.9
Net profit (m)	74,265	116,996	225,270	386,097	497,049
Net profit YoY (%)	129.8	57.5	92.5	71.4	28.7
EPS (\$)	3.0	4.8	9.3	15.9	20.4
P/E	70.0	44.1	22.6	13.2	10.3
ROE (%)	93.6	74.4	81.2	75.0	62.4

Source: Company data, GF Securities (Hong Kong) Brokerage.

Please be sure to read the disclosures at the end of this report carefully.

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Earnings Forecast

F2Q results better than expected

F2Q results (July-qtr) came in modestly ahead of expectations. Total revenue reached \$96.2bn (+18% QoQ, +106% YoY), versus GF's \$94.5bn, Bloomberg consensus \$92.3bn and buy-side estimates of \$94.6bn; data-center revenue hit \$89bn with networking growing strongly at 18% QoQ, gross margin stood at 75% (GF:75.1%, Bloomberg:75%), and EPS printed at \$2.22 (GF:\$2.15, Bloomberg:\$2.09, buy-side:\$2.18).

F3Q guidance of \$108bn inline with our forecast and slightly above expectations, while gross margin to trend down on memory cost

F3Q revenue guidance of \$108bn $\pm$ 2% matched our forecast of \$108bn and topped street consensus (Bloomberg:\$104bn, buy-side:\$106-108bn), while guided gross margin of 73.5-74.5% trailed market expectations (GF:75.1%, Bloomberg:74.8%); Vera Rubin has started shipping and is expected to contribute ~20% of data-center revenue in F3Q. Driven by higher-than-anticipated memory costs, management guided F4Q gross margin of 71-72%, with a recovery toward 72-73% for FY28 supported by price hikes effective F1Q28.

More importantly, FY28 revenue is guided for 70% YoY, a supply-constrained figure versus underlying customer-implied demand of 100% YoY expansion.

Figure 1: Nvidia's F2Q results review

USD mn	F2Q27	F1Q27	QoQ	F2Q26	YoY	GFHK	Diff	Consensus	Diff
Sales	96,221	81,615	17.9%	46,743	105.9%	94,481	1.8%	92,376	4.2%
Gross Profit	72,188	61,211	17.9%	33,960	112.6%	70,942	1.8%	69,326	4.1%
OPEX	8,232	7,449	10.5%	3,795	116.9%	8,300	-0.8%	8,141	1.1%
Operating Profit	63,956	53,783	18.9%	30,165	112.0%	62,642	2.1%	61,185	4.5%
Pretax Profit	64,256	54,240	18.5%	30,685	109.4%	63,124	1.8%	61,695	4.2%
Net Income	53,954	45,548	18.5%	25,783	109.3%	52,393	3.0%	51,052	5.7%
EPS (US\$)	2.22	1.87	18.7%	1.05	111.4%	2.15	3.3%	2.09	6.2%
			ppts		ppts		ppts		ppts
GM	75.0%	75.0%	0.0	72.7%	2.3	75.1%	-0.1	75.0%	0.0
OPM	66.5%	65.9%	0.6	64.5%	2.0	66.3%	0.2	66.2%	0.3
Pretax Margin	66.8%	66.5%	0.3	65.6%	1.2	66.8%	0.0	66.8%	0.0
Net Margin	56.1%	55.8%	0.3	55.2%	0.9	55.5%	0.6	55.3%	0.8

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: Nvidia Roadmap

	H200	B200	B300	Rubin	LP30	Rubin Ultra
Launch/MP	2Q24	4Q24	3Q25	3Q26	3Q26	2H27
Architecture	Single	2-die	2-die	2-die + 2x I/O	Single	2-die + 2x I/O
Front-end node	N4P	N4P	N4P	N3P	Samsung N4	N3P
Back-end process	CoWoS-S	CoWoS-L	CoWoS-L	CoWoS-L		CoWoS-L
Transistor (bn)	80	208	208			
Interconnect	NVLink 900GB/s	NVLink 1,800 GB/s	NVLink 1,800 GB/s	NVLink 3,600 GB/s		NVLink 3,600 GB/s
Memory (GB)	141GB HBM3E	192GB HBM3E	288GB HBM3E 12hi x 8	288GB HBM4 12hi x 8	500MB	
Memory Bandwidth (TB/s)	4.8	8	8	22	150	
TDP	700W	1000W	1000W	2,300W		
Networking	400Gb CX7	400Gb CX7	800Gb CX8	Dual-800Gb CX9		1,600Gb CX10

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: Rubin Ultra's current likely HBM spec

	HBM4	HBM4E
8 Hi	192GB	256GB
12 Hi	288GB	384GB

Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings revision

Incorporating results and guidance, we revise FY27E/FY28E EPS by -1%/+3%.

Figure 4: Earnings revision

USD m	FY2026	FY2027E		FY2028E		Change (%)	
		Old	New	Old	New	FY27E	FY28E
Net sales	215,938	408,811	410,878	676,478	712,069	1%	5%
Gross profit	153,994	306,887	303,247	507,065	519,132	-1%	2%
Operating profit	137,299	271,138	268,666	452,065	463,632	-1%	3%
Pre-tax Income	139,460	273,041	270,023	454,353	465,177	-1%	2%
Net profit	116,996	227,153	225,270	377,113	386,097	-1%	2%
EPS (\$)	4.77	9.31	9.27	15.46	15.88	-1%	3%
Key ratios (%)							
Gross margin	71.3%	75.1%	73.8%	75.0%	72.9%		
Operating margin	63.6%	66.3%	65.4%	66.8%	65.1%		
Pre-tax margin	64.6%	66.8%	65.7%	67.2%	65.3%		
Net profit margin	54.2%	55.6%	54.8%	55.7%	54.2%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 5: Nvidia's P&L forecast

(USD m)	FY26	F1Q27	F2Q27	F3Q27E	F4Q27E	FY27E	F1Q28E	F2Q28E	F3Q28E	F4Q28E	FY28E
Sales	215,938	81,615	96,221	110,981	122,060	410,878	141,425	159,573	189,036	222,035	712,069
COGS	61,944	20,383	24,033	28,885	34,329	107,631	39,239	43,597	50,860	59,241	192,938
Gross profit	153,994	61,232	72,188	82,096	87,731	303,247	102,187	115,975	138,176	162,793	519,132
Opex	16,695	7,449	8,232	9,000	9,900	34,581	11,500	12,700	14,600	16,700	55,500
Operating profit	137,299	53,783	63,956	73,096	77,831	268,666	90,687	103,275	123,576	146,093	463,632
Non-operating profit	2,161	457	300	300	300	1,357	386	386	386	386	1,545
Pre-tax profit	139,460	54,240	64,256	73,396	78,131	270,023	91,073	103,662	123,962	146,480	465,177
Income tax	22,464	8,692	10,302	12,477	13,282	44,754	15,482	17,622	21,074	24,902	79,080
Non-GAAP Net Income	116,996	45,548	53,954	60,919	64,849	225,270	75,591	86,039	102,889	121,578	386,097
Non-GAAP EPS (\$)	4.77	1.87	2.22	2.51	2.67	9.27	3.11	3.54	4.23	5.00	15.88
Diluted shares	24,527	24,391	24,285	24,285	24,285	24,312	24,312	24,312	24,312	24,312	24,312
Margin analysis											
Gross margin	71.3%	75.0%	75.0%	74.0%	71.9%	73.8%	72.3%	72.7%	73.1%	73.3%	72.9%
Operating margin	63.6%	65.9%	66.5%	65.9%	63.8%	65.4%	64.1%	64.7%	65.4%	65.8%	65.1%
Pre-tax margin	64.6%	66.5%	66.8%	66.1%	64.0%	65.7%	64.4%	65.0%	65.6%	66.0%	65.3%
Effective tax rate	16.1%	16.0%	16.0%	17.0%	17.0%	16.6%	17.0%	17.0%	17.0%	17.0%	17.0%
Growth (% YoY)											
Sales	65%	85%	106%	95%	79%	90%	73%	66%	70%	82%	73%
Operating profit	58%	131%	112%	94%	69%	96%	69%	61%	69%	88%	73%
Net income	58%	129%	109%	92%	64%	93%	66%	59%	69%	87%	71%
EPS	59%	131%	111%	93%	65%	94%	67%	59%	69%	87%	71%
Product mix (%)											
Data Center	90%	92%	93%	94%	95%	94%	95%	95%	96%	97%	96%
Gaming	7%	5%	4%	3%	2%	3%	3%	3%	2%	1%	2%
Professional Visualization	1%	2%	2%	2%	2%	2%	2%	2%	1%	1%	1%
Auto	1%	1%	1%	1%	1%	1%	0%	0%	0%	0%	0%
OEM & Other	0%	0%	1%	1%	1%	0%	0%	0%	0%	0%	0%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

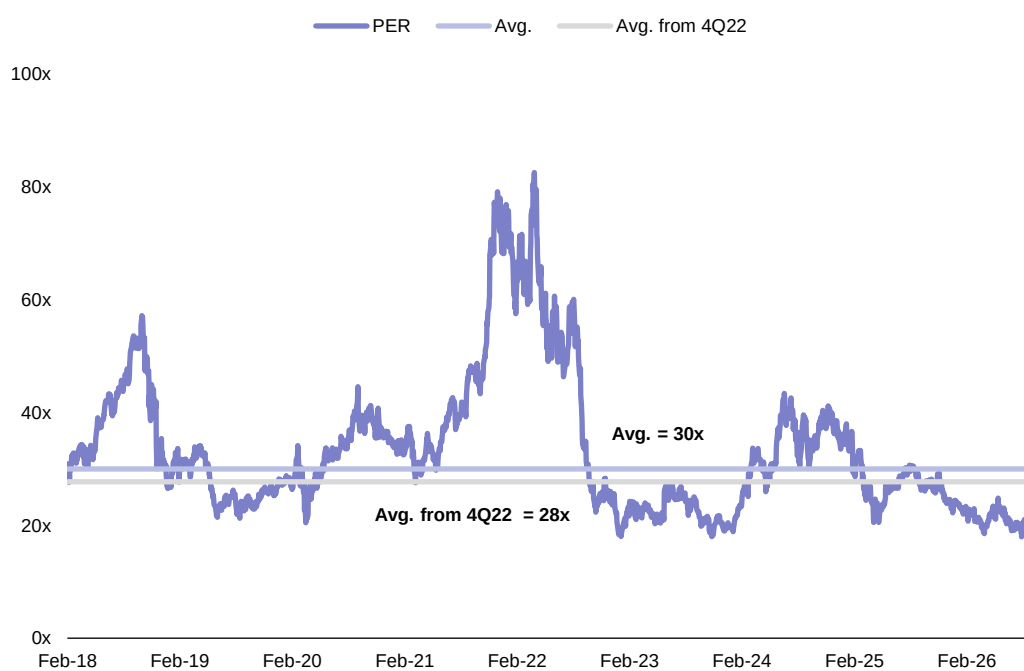
Maintain Buy with TP of \$345

We rate Nvidia (NVDA US) Buy and set our TP to \$345, which is based on 28x our FY27E/FY28E (average of CY2026 and CY2027) EPS estimate. Our price target implies a 22x our FY28E (~CY2027) non-GAAP EPS estimate.

We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and we usually apply P/E method to fabless firms.

Our target multiple is 10% lower than its mid-cycle level of 30x since 2018 but inline with its mid-cycle of 28x since 4Q22 when the AI cycle started. We believe the ongoing AI/Gen AI trends and its platform leadership represent vast growth opportunities including CSPs, enterprise, industrial, Sovereign AI, etc.

Figure 6: Nvidia's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) geo-risk; 2) capex slowdown; 3) scaling slowdown; 4) product delay.

Balance Sheet						USD mn
As of Jan 31	FY25	FY26	FY27E	FY28E	FY29E	
Current assets	80,126	125,605	178,349	276,841	366,899	
Cash and cash equivalents	43,210	62,556	61,918	72,846	107,856	
Inventory	10,080	21,403	37,189	66,664	83,454	
Accounts Receivable	23,065	38,466	73,191	126,844	162,181	
Other current assets	3,771	3,180	6,051	10,486	13,408	
Non-current assets	31,475	81,198	226,733	428,421	604,811	
Long-term equity investment	-	-	75,000	172,500	279,750	
Fixed assets	6,283	10,383	16,989	22,404	26,489	
Other long-term assets	25,192	70,815	134,744	233,517	298,572	
Total assets	111,601	206,803	405,082	705,262	971,709	
Current liabilities	18,047	32,163	69,667	116,914	135,639	
Accounts Payable	6,310	9,812	17,049	30,562	38,259	
Short-term borrowings	-	999	11,990	15,943	7,356	
Other current liabilities	11,737	21,352	40,628	70,410	90,025	
Non-current liabilities	14,227	17,347	57,840	73,651	39,301	
Long-term Debt	8,463	7,469	47,962	63,773	29,423	
Other non-current liabilities	5,764	9,878	9,878	9,878	9,878	
Total liabilities	32,274	49,510	127,507	190,566	174,940	
Total Equity	79,327	157,293	277,575	514,696	796,769	
Share Capital	-	-	-	-	-	
Additional Paid-in Capital	11,261	10,142	-5,861	-21,864	-37,868	
Retained earnings	68,066	147,151	283,436	536,560	834,637	
Minority interests	-	-	-	-	-	
Total Liabilities & Equity	111,601	206,803	405,082	705,262	971,709	

Income Statement						USD mn
As of Jan 31	FY25	FY26	FY27E	FY28E	FY29E	
Revenue	130,497	215,938	410,878	712,069	910,443	
Cost of sales	31,992	61,944	107,631	192,938	241,530	
Gross profit	98,505	153,994	303,247	519,132	668,913	
Operating Expense	11,716	16,695	34,581	55,500	72,000	
Operating profit	86,789	137,299	268,666	463,632	596,913	
Interest Income	1,786	2,300	2,300	2,645	3,042	
Interest Expense	247	259	208	208	208	
Net other Non-op. Income/(Loss)	3	119	2,420	-735	-892	
Pre-tax profit	88,336	139,460	270,023	465,177	598,854	
Income tax	14,071	22,464	44,754	79,080	101,805	
Profit for the year	74,265	116,996	225,270	386,097	497,049	
Minority interest	-	-	-	-	1	
Net profit to ord. equity	74,265	116,996	225,270	386,097	497,048	
EPS (\$)	3.0	4.8	9.3	15.9	20.4	

Cash Flow Statement						USD mn
As of Jan 31	FY25	FY26	FY27E	FY28E	FY29E	
Operating cash flow	64,089	105,018	201,794	346,413	475,228	
Profit for the year	74,265	116,996	225,270	386,097	497,049	
Depreciation & amortization	1,864	2,843	3,394	4,585	5,915	
Change in working capital	-	-	-26,869	-44,269	-27,736	
Others	-12,040	-14,821	-	-	-	
Investing cash flow	-20,421	-52,228	-148,929	-206,273	-182,305	
Capex	-4,233	-6,943	-10,000	-10,000	-10,000	
Change in investment	-	-	-75,000	-97,500	-107,250	
Others	-16,188	-45,285	-63,929	-98,773	-65,055	
Free cash flow	43,668	52,790	52,865	140,140	292,924	
Financing cash flow	-42,359	-48,474	-53,503	-129,211	-257,914	
Change in Capital	-37,916	-39,031	-104,988	-148,976	-214,976	
Net Change in Debt	-1,246	5	51,484	19,764	-42,938	
Others	-3,197	-9,448	-	-	-	
Exchange influence	-	-	-	-	-	
Net increase in cash	1,309	4,316	-638	10,928	35,010	

Key Financial Ratios					
As of Jan 31	FY25	FY26	FY27E	FY28E	FY29E
Growth (%)					
Revenue growth	114.2	65.5	90.3	73.3	27.9
Operating profit growth	133.7	58.2	95.7	72.6	28.7
Net profit growth	129.8	60.6	88.8	71.4	28.7
Profitability (%)					
Gross profit margin	75.5	71.3	73.8	72.9	73.5
Operating Profit Margin	66.5	63.6	65.4	65.1	65.6
Net profit margin	56.9	55.2	54.8	54.2	54.6
Key Ratio (%)					
ROA	83.8	74.9	73.6	69.5	59.3
ROE	93.6	74.4	81.2	75.0	62.4
Stability					
Gross debt/equity	10.7	5.4	21.6	15.5	4.6
Interest Coverage	358.6	548.3	1299.2	2237.4	2880.1
Current Ratio	4.4	3.9	2.6	2.4	2.7
Quick Ratio	3.9	3.2	2.0	1.8	2.1
Net debt/equity	Net cash	Net cash	Net cash	1.3	Net cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

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	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

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